

Management Report

E-Commerce RFM Customer Segmentation — Operational Detail

Audience: CRM Leads, Performance Marketing, Category Managers, Analytics Managers **Purpose:** Operational-level detail supporting segment-specific campaign execution

1. Report Scope

This report provides the operational detail beneath the Executive Report (reports/Executive_Report.md) — intended for managers responsible for executing, not just approving, the CRM response to the RFM segmentation findings. It maps each segment to owners, triggers, and channels.

2. Segment Operating Detail

2.1 Champions — 13,354 customers, R\$ 4,089,088.19 (25.98% of revenue)

- **Scoring rule:** $r_score \geq 4$ AND $f_score \geq 4$ AND $m_score \geq 4$ (docs/10_Methodology.md)
- **ARPU:** R\$ 306.21 (highest of all segments; 1.85x platform average)
- **Owner:** Head of CRM & Retention
- **Objective:** VIP Retention & Margin Defense
- **Actions:** VIP loyalty tier (“Olist Select”), early access to sales, dedicated support, product preview access
- **Channels:** Exclusive email, WhatsApp VIP concierge, push notification
- **Timing:** Phase 1 (Weeks 1-4) per docs/13_Business_Recommendations.md

2.2 Loyal — 41,740 customers, R\$ 5,054,591.30 (32.12% of revenue)

- **Scoring rule:** $r_score \geq 3$ AND $f_score \geq 3$
- **ARPU:** R\$ 121.10
- **Owner:** Category & Merchant Managers
- **Objective:** Revenue Expansion & Cross-Sell
- **Actions:** Cross-selling recommendation engines based on past product categories; free-shipping thresholds to increase order value
- **Channels:** Personalization emails, in-app banner callouts
- **Timing:** Phase 2 (Weeks 5-8)
- **Target:** +10% ARPU (R\$ 121.10 -> R\$ 133.20), generating approximately +R\$ 505K in incremental sales (docs/04_Business_Objectives.md)

2.3 At Risk — 1,900 customers, R\$ 427,933.15 (2.72% of revenue)

- **Scoring rule:** $r_score \leq 2$ AND $f_score \geq 3$
- **ARPU:** R\$ 225.23 (second-highest of all segments)
- **Owner:** Head of CRM & Retention / Performance Marketing Lead
- **Objective:** Urgent Reactivation & Intervention
- **Actions:** Automated “We Miss You” sequences with time-bound 15% discount codes triggered within 14 days of inactivity threshold
- **Channels:** SMS reminders, retargeting ads, targeted email
- **Timing:** Phase 1 (Weeks 1-4)
- **Target:** Recover 15-20% of cohort, protecting R\$ 64K-R\$ 85K in annual revenue

2.4 Lost — 12,593 customers, R\$ 2,073,734.79 (13.18% of revenue)

- **Scoring rule:** $r_score = 1$ AND $f_score = 1$

- **ARPU:** R\$ 164.67
- **Owner:** Performance Marketing Lead
- **Objective:** Win-Back Automation
- **Actions:** Low-cost automated win-back email sequences highlighting new arrivals in previously purchased categories
- **Channels:** Automated lifecycle email triggers
- **Timing:** Phase 3 (Weeks 9–12)
- **Target:** 5% reactivation rate, re-engaging ~630 users and generating +R\$ 100K+

2.5 Others — 25,402 customers, R\$ 4,092,320.09 (26.00% of revenue)

- **Scoring rule:** All remaining combinations (ELSE)
- **ARPU:** R\$ 161.10
- **Owner:** Performance Marketing Lead
- **Objective:** Nurturing & Activation
- **Actions:** Educational onboarding drips, review incentives, second-purchase promotional offers
- **Channels:** Onboarding email drips, retargeting ad campaigns

3. Execution Roadmap

Phase 1: High-Value Defense (Weeks 1-4)

- VIP Loyalty Concierge for 13,354 Champions (ARPU R\$ 306.21)
- 14-day inactivity alerts for 1,900 At-Risk users (R\$ 427.93K rev)

Phase 2: Revenue Expansion (Weeks 5-8)

- Category Recommendation Engine for 41,740 Loyal users (ARPU R\$ 121.10)

Phase 3: Automated Win-Back & Nurturing (Weeks 9-12)

- Email win-back sequences for 12,593 Lost users

Source: docs/13_Business_Recommendations.md.

4. Reporting Cadence & Ownership Matrix

Stakeholder	Deliverable Owned	Reference
CMO	Overall retention ROI narrative	reports/Executive_Report.md
Head of CRM & Retention	Champions + At-Risk campaign execution	docs/05_Stakeholders.md
Performance Marketing Lead	At-Risk + Lost channel execution, CAC discipline	docs/05_Stakeholders.md
VP of Analytics & BI	Pipeline reproducibility, data governance	docs/09_Data_Model.md
Category & Merchant Managers	Loyal segment cross-sell content	docs/13_Business_Recommendations.md

5. Data & Pipeline Reference

Component	Location
Recency/Frequency/Monetary base metrics	sql/01_rfm_metrics.sql
Scoring & segmentation logic	sql/02_customer_segmentation.sql
Python processing pipeline	python/rfm_analysis.py
Segment output data	insights/RFM Segmentation Analysis.csv
Field-level schema	docs/data_dictionary.md

6. Constraints Managers Should Know

- Recency is computed against a fixed historical snapshot (2018-09-03), not a live date — in a production deployment, recalculation against `CURRENT_DATE()` is required before triggers go live operationally. See docs/14_Limitations.md.
- Over 90% of customers are single-purchase buyers, which is why Frequency scoring uses custom CASE binning rather than standard quintiles.
- Segmentation is transaction-based only; no demographic or behavioral (web/app) data is incorporated.